



The
Mercedes-
Maybach S600
Guard (₹10.5 crore);
India's largest luxury
carmaker sold a
record 7,573 units
in January-June
2022

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comes from. “Five years ago, the typical buyer was a third- or fourth-generation entrepreneur largely restricted to metro cities. We thought we needed to have a strategy that drives consistent growth in the market independent of what’s happening in the external environment. We observed wealth is not restricted to Tier I cities in India. Today, we have Lamborghini owners in more than 50 cities and many of them are first-generation entrepreneurs,” says Agarwal.

Balbir Singh Dhillon, Head of Audi India, agrees: “More young people, especially in the category of start-up owners and young professionals, are keen on experiencing luxury at an early age. They have both the desire and means for it. From the Audi A4, which is our entry-level sedan, right up to the RS e-tron GT, which is our top-end electric car that costs upwards of ₹2 crore, we have seen a rise in first-generation buyers over the last two years.” The kind of customisation that Audi India has seen includes customised alloy wheels, seats, seat belts, inlays, exterior colours, cool box and so on. In the newly launched Audi A8 L,

customers can get their car customised from 55 exterior colours, eight interior colours, and seven wooden inlays, enabling an array of personalisation options.

A BATTLING MARKET

While some luxury carmakers are seeing record bookings, the overall market has shrunk since pre-pandemic times. According to ICRA, the market contracted by almost 50 per cent from about 39,640 in CY2018 to about 19,439 in CY2020. Last year, the industry crossed around 30,000 units. Lexus’s Soni expects that the industry could cross its highest volume mark if the supply side pressures subside. “While the industry had slipped post the pandemic, the good news is that there has been a strong rebound and there’s enough headroom to grow,” he says.

While luxury car sales in India are a piffling 1 per cent of the total market, in Japan the penetration is 5 per cent, in the US it’s 15 per cent, and in China, it’s 17 per cent. Automakers say that one of the biggest factors that’s keeping them from growing is India’s tax structure. Luxury vehicles currently attract the top GST slab of 28 per cent with an additional cess of 20 per cent on sedans and 22 per cent on SUVs, taking the total tax incidence to up to 50 per cent. The way to insulate yourself from global supply fluctuations and battle